

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

BROOKE GIBSON, *Claimant*

v.

FORMULA GLOBAL MOBILITY, *Respondent*.

DOCKET NO. 2030(I)

Served: March 27, 2026

BEFORE: Jamie L. Mendelson, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant, Brooke Gibson, initiated this proceeding by filing an informal complaint at the Federal Maritime Commission (“FMC” or “Commission”) alleging that Respondent Formula Global Mobility (“FGM”) failed to comply with the minimum content requirements for demurrage and detention invoices set forth in section 41104(d) of the Shipping Act, 46 U.S.C. § 41104(d).

In short, Claimant hired Respondent, an international moving company, to ship her household goods and vehicle from Miami, Florida, to Barcelona, Spain. Customs clearance issues and an unsuccessful attempt to return the vehicle to the United States in order to avoid import taxes resulted in a lengthy delay in releasing the container at the destination port. Respondent’s destination agent, AGS Global Solutions (“AGS”), issued an invoice to Claimant for demurrage and detention fees totaling €8,070.75 for the time the container remained at the port. The invoice AGS issued for demurrage and detention did not contain most of the required information set forth in 46 U.S.C. § 41104(d)(2). Respondent asserts that the provisions of section 41104(d) do not apply to the charges because the invoice in question was issued prior to the date when section 41104(d) went into effect and because Respondent was not acting as a common carrier. Respondent further asserts that the “safe harbor” provision under section 41104(e) applies because Respondent “passed through” the invoice at issue.

As discussed in detail below, Claimant has established that Respondent failed to comply with the demurrage and detention invoice requirements set forth in section 41104(d) of the

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

Shipping Act. Claimant is entitled to a refund of the demurrage and detention fees in the amount of \$8,668.79.

A. Procedural History

Claimant filed the Claim and exhibits with the Office of the Secretary on April 29, 2025. The Claim was served on May 1, 2025. *See* Notice of Filing of Small Claims Complaint and Assignment.

Respondent filed a response to the Claim and exhibits (“Response”) on May 27, 2025.

On July 10, 2025, this matter was assigned to Small Claims Officer (“SCO”) Theresa Dike. *See* Notice of Assignment to Small Claims Officer. On July 15, 2025, the SCO issued a Request for Additional Documents and Information (“First RFI”).

Claimant responded to the First RFI on July 28, 2025 (“C. First RFI Resp.”), and Respondent responded to the First RFI on August 12, 2025 (“R. First RFI Resp.”). Respondent filed a reply to Claimant’s First RFI Response (“R. First RFI Reply”) on August 26, 2025.

Due to a lapse in appropriations, the Office of Administrative Law Judges was unavailable October 1, 2025, through November 13, 2025.

This matter was reassigned to me to serve as the SCO on February 5, 2026. *See* Notice of Reassignment.

On February 5, 2026, I issued a Second Order Requesting Additional Information (“Second RFI”). The Second RFI sought additional information with respect to the issues of whether Respondent was acting as a non-vessel-operating common carrier (“NVOCC”) or an ocean freight forwarder (“OFF”), and whether the “safe harbor” provision under 46 U.S.C. § 41104(e) is applicable. The Second RFI requested, among other things, that Respondent identify the entity that assessed the demurrage and detention fees at issue and to provide all documents related to the assessment of the fees.

Claimant provided a response to the Second RFI (“C. Second RFI Resp.”) on February 25, 2026, and Respondent provided a response (“R. Second RFI Resp.”) on March 3, 2026. Respondent’s response stated that Respondent “passed through” the demurrage and detention fees that were assessed by “terminal/carrier entities,” but did not specifically identify the entities and did not provide the invoice(s) from the “terminal/carrier entities” that assessed the fees.

On March 5, 2026, a Third Order Requesting Additional Information from Respondent (“Third RFI”) was issued, requesting that Respondent provide the third party invoice(s) assessing the demurrage and detention fees that Respondent alleges were passed through to Claimant. The Third RFI ordered Respondent to provide a response by March 12, 2026. No response to the Third RFI was received. The Office of Administrative Law Judges sent Respondent an email on March 13, 2026, notifying Respondent that no response was received and requesting a status update. Respondent did not respond to the email.

B. Argument of the Parties

1. Claimant's Arguments

Claimant retained Respondent, doing business as Granero Moving, for an international move of her household goods and vehicle from Miami, Florida, to Barcelona, Spain. According to Claimant, Respondent and Respondent's destination agent, AGS, failed to perform due diligence with respect to the documentation required for customs clearance of the vehicle in Spain, which resulted in a lengthy delay and additional fees. Claimant received and paid an invoice from AGS charging a demurrage fee of €3,915.00 and a detention fee of €4,155.75. Claimant alleges she was not informed ahead of time of the fees and the invoice did not contain the required information pursuant to 46 U.S.C. § 41104(d)(2), such as: date that container was made available, port of discharge, container number, earliest return date, allowed free time, start and end dates of free time, the applicable detention and demurrage rule on which the daily rate is based, applicable rates per the applicable rules, a statement that the charges are consistent with FMC rules, and a statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.² *See* 46 U.S.C. § 41104(d)(2)(A)-(M). Claimant also alleges that Respondent provided "terrible service," failed to provide adequate oversight of AGS, and Respondent failed to meet its promise "to deliver in a timely manner"—taking over one year before Claimant could obtain possession of the vehicle in Spain. Claimant seeks a refund of the demurrage and detention fees, totaling €8070.75, the equivalent of \$8,711.62 at the time of the Claim. *See* Claim & C. First RFI Resp.

2. Respondent FGM's Arguments

Respondent contends the invoice requirements in section 41104(d) do not apply to the shipment at issue because the Commission did not issue the final rule implementing the requirements of this section until after the date of the shipment. Additionally, Respondent asserts that section 41104(d) does not apply because Respondent was not acting as a common carrier with respect to the shipment. Moreover, the demurrage and detention charges were assessed by third parties and "passed through" to Claimant, making Respondent not responsible under the "safe harbor" provision of section 41104(e). Respondent claims the demurrage and detention fees were the result of a delay caused by Spanish customs denying the duty exemption for the vehicle and Claimant's subsequent attempt to cancel the vehicle import. Finally, Respondent contends that Claimant's allegations concerning her dissatisfaction with the service and delivery delays are outside the scope of section 41104(d). *See* Response; R. First RFI Resp.; R. Second RFI Resp.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

A. The Parties

1. Claimant Brooke Gibson is an individual. Claim ¶ I at pg.1.

² Claimant clarified in response to the First RFI that, "We do not allege that the charges were improper, only that we were not informed of these charges ahead of time, nor provided with the appropriate billing information on the final invoice." C. First RFI Resp. at ¶ 1.

2. Claimant arranged and paid for the shipping of household goods and a vehicle from Miami, Florida, to Barcelona, Spain by ocean freight. Claim at pg. 5; C. First RFI Resp. ¶ 5.
3. Respondent, Formula Global Mobility LLC (“FGM”), is licensed by the Commission as an Ocean Transportation Intermediary (“OTI”). R. First RFI Resp. ¶ 2 at pg. 2 & Ex. 2 at pg. 7.
4. FGM is registered with the Commission as both a non-vessel-operating common carrier (“NVOCC”) and as an ocean freight forwarder (“OFF”) under Organization No. 025832. See <https://www2.fmc.gov/oti/FF.aspx> & <https://www2.fmc.gov/oti/NVOCC.aspx> (last visited Mar. 9, 2026).
5. FGM does business under the names Granero Moving and Formula Van Lines. R. Second RFI Resp. ¶ 7.
6. FGM advertises its international moving services by sea-freight to the public. C. Second RFI Resp. ¶ 2 at pg. 1. See <https://formulaglobalmobility.us/international-moving/> (“Formula Global Mobility are the trusted international movers”) (last visited Mar. 27, 2026). FGM’s website advertises:

Once you hire Formula Global Mobility, a dedicated international move coordinator will carefully plan your packing and move dates, help you through customs paperwork and answer your questions and concerns. On the date of your move one of our international moving crews will carefully pack and load your furniture and personal possessions to protect everything during international transit.

Our move coordinator will then stay in contact with you through to delivery, making sure customs clearance formalities are completed and that our trusted partner in your destination country delivers your household goods on time and to our high standards of service.

Id.

B. Moving Quote

7. FGM, doing business as Granero Moving, provided a quote to Claimant for an “international door-to-door move” from Miami to Barcelona, Spain for a container to include a vehicle. Response Ex. B at pp. 11-14.
8. The quote included estimated charges for “Door-to-Door Cost,” DTHC [destination terminal handling charges], external elevator, parking permit, car registration with environmental sticker and technical inspection, and insurance. Response Ex. B at pg. 8.
9. The quote specified: “Regular origin port charges are included. Air & Sea Freight are subject to change at time of booking without previous notice. Any additional charges incurred at destination will be billed to you directly and will need to be collected prior to

the shipment's delivery, such as storage, building access, parking restrictions or shuttle changes." Response Ex. B at pg. 8.

10. The quote listed the door-to-door services, including furniture disassembly, packing, crating, inventory, unwrapping, assembly, placement, unpacking of boxes, and removal of used packing material. Response Ex. B at pp. 8-9. The door-to-door services also included:

- Careful loading of your household goods and personal effects into the vehicle or shipping container;
- Transportation of the goods using accredited, licensed shipping and/or airlines;
- Customs clearance at destination by an accredited broker;

Id.

11. The quote specified that it did not include, "Duties and taxes, fines, port storage or demurrage costs levied by shipping lines, port authorities or custom officials." Response Ex. B at pg. 9.
12. Claimant signed the quote on June 22, 2023. Response Ex. B at pg. 11.

C. FGM's relationship with AGS

13. FGM appointed AGS Global Solutions ("AGS") as the destination agent in Barcelona, Spain, to manage customs clearance, port coordination, and final delivery of the shipment. Response ¶ 1.B at pg. 2.
14. AGS is not licensed by the FMC as an OTI. R. First RFI Resp. ¶ 6 & Ex. 6 at pp. 2, 30.
15. FGM does not have a formal written agreement with AGS. First RFI Resp. ¶ 7 at pg. 2. FGM confirmed AGS's services by email correspondence. *Id.* FGM stated in response to the First RFI that it does not have access to those emails to produce in response to the RFI. *Id.*
16. AGS acted as a shipment-specific destination service provider. R. Second RFI Resp. ¶ 15. The relationship was operational and based on standard industry practice. *Id.* AGS was authorized by FGM to perform destination services. *Id.*

D. Shipment

17. The record contains a "Household Goods Descriptive Inventory" from FMG which reflects that the Claimant's household goods were tendered at an origin location of Weston, Florida, on July 27, 2023. R. Second RFI Resp. Attch. 3A at pp. 8-10.
18. Email correspondence included in the record indicates that Claimant dropped off the vehicle at FMG's warehouse in Fort Lauderdale, Florida, on or about July 31, 2023. C. Second RFI Resp. Doc. 6.

19. FGM arranged ocean transportation of the shipment through ECU Worldwide USA. R. Second RFI Resp. ¶ 1.
20. ECU Worldwide (USA) (“ECU”) is the trade name for the non-vessel-operating common carrier (“NVOCC”) Econocaribe Consolidators, Inc., registered under FMC license number 016318. See <https://www2.fmc.gov/oti/Default.aspx> (last visited Mar. 9, 2026).
21. The record contains an ECU Quotation Summary valid from June 22, 2023 to July 21, 2023. R. Second RFI Resp. at Attch. 4A. The “User Name” is listed as an individual with FGM. *Id.* The quote for a 40DV container from the port of Miami, Florida, to the port of Barcelona lists an ocean freight total of \$350.00 and an administration fee of \$10.00. *Id.*
22. ECU issued the Bill of Lading for the shipment on August 28, 2023. R. Second RFI Resp. ¶ 1. The Bill of Lading describes the container as “40 DV” and describes the goods shipped as 88 pieces of household goods and one vehicle. R. Second RFI Resp. Attch. 1. The container number is TRHU 766266-7. *Id.*
23. The Bill of Lading lists the “Shipper/Exporter” as “Formula Global Mobility as Agent for Brooke Marie Appelblom Gibson,” the “Consignee” as “Brooke Marie Appelblom Gibson,” the “Forwarding Agent – References” as “Formula Global Mobility LLC,” and the “Notify Party” as “AGS Spain.” R. Second RFI Resp. Attch. 1.
24. The Household Goods Descriptive Inventory reflects that the household goods were delivered to the destination address in Barcelona, Spain, on November 30, 2023. R. Second RFI Resp. Attch. 3A at pp. 8-10.

E. Email Correspondence and Spanish Customs Issues

25. On June 27, 2023, an “Import/Export Coordinator” with AGS emailed Claimant about documentation required by Spanish Customs “for a free import in Spain by a change of residence,” including “[p]roof of residence abroad” and “[r]egistration of inhabitant issue [sic] by the local Town Hall.” Response Ex. A at pp. 9-10. The record contains numerous emails back and forth between Claimant and AGS, with FGM copied, discussing what documentation will be sufficient to prove residency in the United States. *Id.* at 5-14.
26. On October 23, 2023, AGS emailed Claimant informing her that Spanish Customs is assessing an import tax on the vehicle due to documentation issues regarding Claimant’s residency status. R. First RFI Resp. Ex. 7 at pp. 47-48. In the email, AGS asks Claimant whether she wants to cancel the importation of the vehicle and return the vehicle to the United States, rather than pay the import tax. *Id.* AGS explains in the email that if the importation of the vehicle is cancelled, the container will be sent to a bonded warehouse to separate the household goods and the vehicle “to re-export it.” *Id.* at 48. Presumably referring to demurrage and/or detention fees, AGS states, “I can not confirm to you the charge in this moment because it will be depends [sic] of the time that it take [sic] the cancellation and the export load to the new vessel.” *Id.*

27. Claimant attempted to cancel the importation of the vehicle in order to avoid paying the Spanish import tax. Claim at pg. 6. Claimant responded to AGS's email on October 23, 2023, stating, "We want to send the car back ASAP." R. First RFI Resp. Ex. 7 at pg. 46. Claimant sent a follow-up email on the same date, stating, "Please see the previous email that we will not pay the tax and we disagree." *Id.*
28. Between October 25, 2023, and November 2, 2023, Claimant and AGS exchanged numerous emails, copying FGM, in which Claimant requested updates on cancelling the importation of the vehicle and asked what the "daily cost" is while the container is being held. R. First RFI Resp. Ex. 7 at pp. 38-44. AGS informed Claimant that they were still waiting on Spanish Customs for the cancellation of the vehicle and they did not know what the "extra cost" would be. *Id.*
29. On November 2, 2023, AGS emailed Claimant to explain that Spanish Customs refused to cancel the importation of the vehicle and is requiring payment of the import tax. R. First RFI Resp. Ex. 7 at pg. 36-37.
30. Claimant replied to AGS's email on the same date, expressing her dissatisfaction that she was not informed of the daily fees and extra cost, and again requesting that AGS cancel the importation of the vehicle. R. First RFI Resp. Ex. 7 at pp. 35-36. AGS replied on the same date, explaining that the decision was made by Spanish Customs and was beyond the control of AGS. *Id.* at pg. 34.
31. Claimant responded on November 2, 2023, stating that AGS has "not been transparent about demurrage charges" for the time the container was being held. R. First RFI Resp. Ex. 7 at pg. 33. Claimant stated, "I had no idea that after seven days I would start incurring these charges until I called another shipping company I used before and they had to tell me." *Id.* Later in the email, Claimant stated, "And you guys should've told me how much I was incurring of charges outside of the seven days. That is my biggest complaint that nobody has been communicating how much extra cost I'm incurring...." *Id.*
32. In the end, Claimant paid the Spanish import tax because she "had no choice." Claim at pg. 6. The extra time that the container remained in the port while Claimant unsuccessfully attempted to cancel the importation of the vehicle resulted in the demurrage and detention fees at issue. R. First RFI Resp. ¶ 8.

F. Third Party Invoices Issued to Respondent

33. Nobel Van Lines issued an invoice to FGM dated August 16, 2023, listing "Customer Name" as "Brooke Gibson." R. Second RFI Resp. at Attch. 5A. The invoice lists "Administrative Charges" for a total of \$75.00. *Id.*
34. The record contains Invoice No. 236540 from Pacific Bonded Carrier, Inc., issued to "Ginter Mobility (Granero)" on August 23, 2023. R. Second RFI Resp. at Attch. 5A. The invoice lists a "door move" fee of \$50.00 for container TRHU7662667 on August 18, 2023. *Id.*

35. The record contains Invoice No. 236711 from Pacific Bonded Carrier, Inc., issued to “Ginter Mobility (Granero)” on August 30, 2023. R. Second RFI Resp. at Attch. 5A. The invoice lists fees relating to container number TRHU-7662667 incurred on August 17, 2023 and August 21, 2023, for a total of \$485.00. *Id.*
36. ECU issued an invoice to FGM dated August 30, 2023, for container number TRHU 766266-7. R. Second RFI Resp. at Attch. 5A. The invoice lists the “Shipper” as “Formula Global Mobility as agent for Brooke Marie Appelblom Gibson,” the “Forwarder” as “Formula Global Mobility LLC dba Granero Moving,” the “Consignee” as “Brooke Marie Appelblom Gibson,” and the “Notify Party” as “AGS Spain.” *Id.* The invoice lists 88 pieces of household goods and 1 vehicle as the goods shipped, and charges \$350.00 for ocean freight and \$10.00 for an administration fee, for a total charge of \$360.00. *Id.*
37. International Relocation Household Goods Insurance issued an invoice to FGM dated August 31, 2023, listing “Employee Name” as “Gibson, Brooke.” R. Second RFI Resp. at Attch. 5A. The invoice lists a “Load Date” of July 27, 2023, an “Assured Value” of \$79,980.00, and a “Premium Due” of \$831.79. *Id.*
38. AGS issued an invoice to FGM dated December 12, 2023. The invoice lists the name “MS Brooke Gibson” and itemizes charges for “Price Destination Services” of 1409,00 EUR, “THC” [terminal handling charges] of 400,00 EUR, and “Admin Fee” of 40,00 EUR, for a total amount of 1849,00 EUR. R. Second RFI Resp. at Attch. 5A.

G. Invoices Issued to Claimant and Fees Paid

39. Granero Moving issued Invoice # AR44779 to Claimant dated June 23, 2023, for “Estimated Door to Door Services (Included DTHC and USD5000 of Insurance)” for a total amount of \$5,700.00. R. Second RFI Resp. at Attch. 5. The invoice lists the “Service” as “Door to Door,” “Type” as “FCL” [full container load], “Commodity” as “HHGS + Vehicle(s),” the “Origin” as “Miami, United States,” and the “Destination” as “Barcelona, Spain.” *Id.*
40. Granero Moving issued Invoice #AR45660 to Claimant dated July 24, 2023, for “3% of Insurance over USD55,000” for a total amount of \$1,375.00. R. Second RFI Resp. at Attch. 5.
41. Granero Moving issued Invoice #AR46071 to Claimant dated August 3, 2023, for “Extra Volume” in the amount of \$400.00 and “Extra Insurance-2.5% over USD24,980” in the amount of \$624.50, for a total amount of \$1,024.50. R. Second RFI Resp. at Attch. 5.
42. AGS issued an invoice to Claimant dated November 15, 2023 (“AGS invoice”). C. First RFI Resp. at Doc. 1. The AGS invoice itemizes the following:

- Taxes	18,271.25 EUR
- Demurrage until 10 th Nov.	3915.00 EUR
- Detention until 10 th Nov.	4155.75 EUR

Sub-Total	26,342.00 EUR
Sub-Total before VAT	26,342.00 EUR
VAT waiver on 0.00 EUR	0.00 EUR
TOTAL	26,342.00 EUR

C. First RFI Resp. at Doc. 1.

43. The AGS invoice includes the total amount due and contact information for AGS, including email and telephone number. C. First RFI Resp. at Doc. 1.
44. The AGS invoice does not contain the following information: date container was made available; port of discharge; container number; allowed free time; start and end dates of free time; applicable detention or demurrage rates and rules on which the daily rate is based; statement that the charges are consistent with any FMC rules with respect to detention and demurrage; and statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges. C. First RFI Resp. at Doc. 1.
45. The record includes Claimant's proof of payment of €26,342.00 to AGS on November 6, 2023. C. First RFI Resp. at Doc. 5.
46. Spanish authorities eventually refunded the import taxes Claimant paid. Claim at pp. 5-6.

III. DISCUSSION

A. Burden of Proof

"In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term "burden of proof" is understood to mean "the burden of persuasion." *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) ("Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted."). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

B. Controlling Authority

1. Demurrage and Detention Invoices

The Ocean Shipping Reform Act of 2022 (“OSRA”) amended the Shipping Act by, *inter alia*, prohibiting common carriers from issuing an invoice for demurrage or detention charges unless the invoice includes specific minimum information. *See* 89 Fed. Reg. 14330 (Feb. 26, 2024).

Under OSRA, section 41104(a)(15) of the Shipping Act (effective June 16, 2022) provides:

(a) In General.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

....

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d)

46 U.S.C. § 41104(a)(15) (emphasis added).

In turn, section 41104(d) (effective June 16, 2022) provides:

(d) Detention and Demurrage Invoice Information.—

....

(2) CONTENTS OF INVOICE.—An invoice under Subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

Id. § 41104(d).³

“Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” *Id.* § 41104(f). Moreover, if the Commission determines “that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.” *Id.* § 41104(d)(1). OSRA, however, provides a “safe harbor” for a non-vessel operating common carrier “passing through” an invoice:

SAFE HARBOR—If a non-vessel operating common carrier passes through to the relevant shipper an invoice made by the ocean common carrier, and the Commission finds that the non-vessel operating common carrier is not otherwise responsible for the charge, then the ocean common carrier shall be subject to refunds or penalties pursuant to subsection (d)(1).

Id. § 41104(e).

2. Common Carrier

The content requirements for demurrage and detention invoices pursuant to section 41104(d)(2) apply to invoices issued by a “common carrier, either alone or in conjunction with any other person, directing or indirectly.” *Id.* § 41104(a) (emphasis added).

A “common carrier” is a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

Id. § 40102(7).

A common carrier is either an ocean common carrier—meaning a vessel-operating common carrier—or a non-vessel-operating common carrier (“NVOCC”) which is a common

³ OSRA additionally required “the Commission to initiate a rulemaking further defining prohibited practices by common carriers, marine terminal operators, shippers, and OTIs regarding the assessment of demurrage or detention charges.” 89 Fed. Reg. 14331 (Feb. 26, 2024). That rulemaking was completed though the final rule on “Demurrage and Detention Billing Requirements” published in 46 C.F.R. part 541 subpart A. *Id.* The final rule became effective May 28, 2024 (except for 46 C.F.R. §§ 541.6 and 541.99, which were delayed). *Id.* Accordingly, the additional requirements set forth in 46 C.F.R. part 541 subpart A do not apply to the shipment at issue because the rule was not yet in effect.

carrier that does not operate vessels and is a shipper in its relationship with an ocean common carrier. *Id.* § 40102(17) & (18). The term “shipper” means—

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

Id. § 40102(23).

3. Ocean Transportation Intermediary—Ocean Freight Forwarder v. NVOCC

An ocean transportation intermediary (“OTI”), such as Respondent, can be either an ocean freight forwarder (“OFF”) or an NVOCC. *Id.* § 40102(2). An OTI acting in the capacity of an OFF is not a common carrier, and thus not subject to the invoice requirements of section 41104(d)(2). However, an OTI acting in the capacity as an NVOCC is a common carrier and is subject to the invoice requirements of section 41104(d)(2).

The Shipping Act defines an OFF as a person that “dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers” and “process the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 41102(19).

The Commission has promulgated regulations providing examples of OFF services versus NVOCC services, some of which overlap:

Freight forwarding services refers to the dispatching of shipments on behalf of others, in order to facilitate shipment by a common carrier, which may include, but are not limited to, the following:

- (1) Ordering cargo to port;
- (2) Preparing and/or processing export documents, including the required ‘electronic export information’;
- (3) Booking, arranging for or confirming cargo space;
- (4) Preparing or processing delivery orders or dock receipts;
- (5) Preparing and/or processing common carrier bills of lading or other shipping documents;
- (6) Preparing or processing consular documents or arranging for their certification;
- (7) Arranging for warehouse storage;
- (8) Arranging for cargo insurance;
- (9) Assisting with clearing shipments in accordance with United States Government export regulations;
- (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;

- (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (12) Coordinating the movement of shipments from origin to vessel; and
- (13) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.

46 C.F.R. § 515.2(h).

Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

Id. § 515.2(k).

C. Analysis

Claimant alleges the AGS invoice—charging demurrage and detention fees—violated the content requirements of 46 U.S.C. § 41104(d)(2) because the invoice did not include most of the required information set forth in section 41104(d)(2)(A)-(M). Analysis of the Claim requires consideration of several issues. Although not specifically argued by Respondent, the first threshold issue is whether Respondent is the legally responsible entity for the AGS invoice of demurrage and detention charges. Next, the analysis considers whether Respondent acted in the capacity of an NVOCC with respect to the shipment and was thus subject to the invoice requirements of section 41104(d)(2); whether the AGS invoice included “demurrage and detention” charges that are regulated by the Commission; and whether the invoice met the contents requirements of section 41104(d)(2). The final issue is whether the safe harbor provision of section 41104(e) applies to Respondent.

Of note, Claimant also generally avers that Respondent provided “terrible service,” failed to provide adequate oversight of AGS, AGS’s failure to perform due diligence resulted in the delays causing the fees at issue, and Respondent failed to meet its promise “to deliver in a timely manner.” *See* Claim & C. First RFI Resp. Claimant does not allege a Shipping Act violation with respect to these allegations. The nature of these allegations potentially raises common law claims such as negligence or breach of contract. In general, while the Commission has exclusive jurisdiction over claims arising under the Shipping Act, the Commission does not have jurisdiction over common law claims. *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission). To the extent Claimant raises common law claims, those claims are not within the jurisdiction of the Commission and will not be considered in this decision.

1. Respondent is the legally responsible entity for the invoice issued by its destination agent AGS

Claimant contracted with Respondent for the door-to-door move of the household goods and vehicle. PFs 7-12. Respondent retained the services of AGS as a destination agent to manage customs clearance, port coordination, and final delivery of the shipment, in line with industry practices. PFs 13-16. AGS was not licensed as an OTI, but was authorized by Respondent to perform destination services for the shipment. PFs 14, 16.

It is undisputed that Respondent authorized AGS to act as its agent with respect to the shipment. As explained by the Commission in its *Final Rule on Demurrage and Detention Billing Requirements*, AGS, as Respondent’s agent, collected demurrage and detention charges on behalf of Respondent:

Traditional rules of agency remain applicable under the Shipping Act. According to the Restatement (Third) Of Agency § 1.01 (2006): “As defined by the common law, the concept of agency posits a consensual relationship in which one person, to one degree or another or respect or another, acts as a representative of or otherwise acts on behalf of another person with power to affect the legal rights and duties of the other person. . . .” The principal has a right to control the actions of the agent, but “a principal’s failure to exercise the right of control does not eliminate it.” Restatement (Third) Of Agency § 1.01 (2006). The Restatement also notes that an enforceable contract, written or oral, does not need to exist for there to be a principal-agent relationship. Restatement (Third) Of Agency § 1.01 (2006). While the circumstances of each case must be known to make any particular determination as to whether an agency relationship exists, it is fair to assume, based on the Restatement’s description of agency that the majority of instances where [marine terminal operators] collect demurrage and detention charges on behalf of another party likely create an agency relationship.

89 Fed. Reg. 14330, 14335 (Feb. 26, 2024) (citing *Landstar Exp. Am., Inc. v. Fed. Mar. Comm’n*, 569 F.3d 493, 495 (D.C. Cir. 2009)).

“Fundamental agency law indicates that in a situation where an agent acts on behalf of a disclosed principal, and the agent had authority to act, the principal is liable for the agent’s actions.” *Total Fitness Equip. v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 540 (FMC 1998). Thus, in accordance with the traditional rules of agency applicable to the Shipping Act, Respondent, as the principal, is legally responsible for AGS’s actions as its agent with respect to the shipment at issue. Accordingly, Respondent is the legally responsible entity for invoicing the demurrage and detention charges at issue.

2. Respondent acted as an NVOCC with respect to the shipment at issue

If Respondent acted as an NVOCC with respect to the shipment, section 41104 of the Shipping Act—including the invoice contents requirements for demurrage and detention charges in section 41104(d)(2)—applies to Respondent. 46 U.S.C. § 41104(d)(2) (applicable to “a common carrier”). Claimant asserts that she believes Respondent acted as an NVOCC because FGM is listed as an NVOCC on the U.S. Customs and Border Protection Website. C. Second RFI Resp. ¶ 1 and Doc. 1. Respondent argues that it did not act as an NVOCC for the shipment at issue. Second RFI Resp. ¶¶ 1, 6. Respondent contends it instead acted as a forwarding agent and arranged for shipping through ECU, the entity which issued the Bill of Lading and acted as the NVOCC for the shipment. *Id.* ¶¶ 1, 8.

“Determining whether an intermediary operated as an ocean freight forwarder or an NVOCC on any particular shipment requires an examination of what it actually does on that shipment, as ‘an intermediary’s *conduct*, and not what it labels itself, will be determinative of its status.’” *Carlstar Group LLC v. UTi, U.S., Inc.* 1 F.M.C. 2d 103, 133–34, 2018 WL 2356145 at *26 (ALJ May 18, 2018) (quoting *Bonding of Non-Vessel-Operating Common Carriers*, 25 S.R.R. 1679, 1684 (FMC 1991) (Final Rule) (emphasis added)); *see also* *Rose Int’l, Inc. v. Overseas Moving Network Int’l Ltd.*, 29 S.R.R. 119, 171 (FMC 2001) (“[A] carrier’s status is determined by the nature of its service offered to the public and not upon its own declarations.” (citation modified)). “[T]he question whether an entity is a freight forwarder [or an NVOCC on a particular shipment] is a mixed question of law and fact.” *Prima U.S. Inc. v. Panaipina, Inc.*, 223 F.3d 126, 129 (2d Cir. 2000).

The Commission has set forth a “well-established methodology for determining whether an entity is operating as an NVOCC.” *Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Dkt. No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012) (“*Worldwide* (FMC 2012)”). Under this methodology, “the Commission first determines whether the entity was ‘holding itself out to the general public to provide transportation by water.’” *Id.* at *6 (quoting 46 C.F.R. § 515.2([e])). The Commission has explained:

Among ocean transportation intermediaries, only an NVOCC holds “itself out to the general public to provide transportation by water” An Ocean Freight Forwarder (OFF) does not pass this threshold question.

A person or entity may hold out to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.” *Common Carriers by Water - Status of Express Companies, Truck Lines and*

Other Non-Vessel Carriers, 1 S.R.R. 292 (FMC 1961). The FMC has previously found that advertising and solicitations to the public are important factors in determining the issue of “holding out” by an entity. *See Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 6 S.R.R. 483, 489 n.7 (FMC 1965) [(“Containerships”)].

Id.

In addition to “holding itself out,” the entity must also “assume responsibility for the transportation” in order to be operating as an NVOCC. *Worldwide* (FMC 2012), 2012 WL 11914713 at *8. The “assume responsibility” factor is often not clear-cut. *Id.*

There are several activities that appear similar, but are performed by either an NVOCC or an OFF. For example, the Commission’s regulations state that freight forwarding services include “preparing and/or processing ocean bills of lading,” 46 C.F.R. § 515.2(i)(5). NVOCC services include “issuing bills of lading or equivalent documents.” 46 C.F.R. § 515.2(l) (4). The wording used in a Bill of Lading and invoices, such as terms that refer to the customer/shipper/consignee/agent,” is all too often unclear, polysemic, or ambiguous.

Id. In this regard, the Commission has clarified that an NVOCC does not lose common carrier status if it uses shipping contracts other than bills of lading. *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.—Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations at 46 C.F.R. § 515.27*, Dkt. No. 06-06, 2008 WL 7149852, at * 9 (F.M.C. 2008) (*citing Containerships*, 9 F.M.C. at 62 n.7).

“[P]ermissive presumptions, or inferences of fact, may be employed in appropriate circumstances to determine whether an entity operated as an NVOCC as opposed to an OFF.” *Worldwide* (FMC 2012), 2012 WL 11914713 at *7; *see Activities, Tariff Filing Practices and Carrier Status of Containerships Inc.*, 9 F.M.C. 56, at 62 (FMC 1965) (“The most frequently mentioned characteristic is that a common carrier *by course of conduct* holds himself out to accept goods from whomever offered to the extent of his ability to carry.”) (emphasis added, citations omitted). The Commission has explained:

More generally, when it is proven an entity has advertised something to the shipping public, it is permissible to infer or presume that the entity does what it advertises. The entity crafted the wording of their public advertisements and solicitations and paid money to websites or other public media companies to broadcast those words to the general public.

Worldwide (FMC 2012), 2012 WL 11914713 at *8.

The Commission has recognized that application of a permissive presumption or inference “could raise concerns that an entity licensed as both an NVOCC and OFF may end up being deemed to be operating in NVOCC status in all transactions and thus the operation of the presumption would ‘swallow’ any legitimate OFF activity.” *Id.* at *9. However, “[t]he dual NVOCC-OFF licensed entity has within its own power the ability to insulate itself from this

concern by being clear in its shipping documents as to the status and relationship of all parties to the transportation transaction.” *Id.*

Here, regarding the first element—holding out—Respondent is a licensed NVOCC and advertises its international moving services by sea-freight to the public through its website. PF 6. In accordance with its advertised services, Respondent entered into an agreement with Claimant to provide a “door-to-door move” from Miami, Florida to Barcelona, Spain, to include transportation of the goods by “licensed shipping.” PFs 7, 10, 12. The agreement included estimated amounts for “door-to-door cost” and destination terminal handling charges. PF 8. Respondent’s public advertising of its services as well as Respondent’s agreement with Claimant indicate that Respondent was “holding itself out to the general public to provide transportation [of household goods] by water between the United States and a foreign country for compensation.” 46 C.F.R. § 515.2(e).

Relevant to this analysis is the fact that Respondent provided “door to door” services, including the inland transportation. *See* 46 C.F.R. § 515.2(k)(6) (NVOCC services include “[a]rranging for inland transportation”). Also relevant is the fact that Respondent advertised the use of a “trusted partner in [the] destination country” (PF 6) and engaged AGS as its destination agent for this shipment—in line with NVOCC services. *See* 46 C.F.R. § 515.2(k)(10) (NVOCC services include “[e]ntering into arrangements with origin or destination agents”). Moreover, Respondent invoiced Claimant a total “door-to-door” charge of \$5,700 and did not merely “pass through” the \$360 ocean freight and administration fee invoiced by ECU for the shipment—another indicium of NVOCC services. PFs 36, 39; *see Worldwide* (FMC 2012), 2012 WL 11914713 at *9 n.3 (noting that “OFFs pass along or ‘handle’ freight charges imposed by carriers, whereas NVOCCs (and VOCCs) determine what those freight charges are.”). Respondent was not merely passing along a freight charge with a “fee” that an OFF would charge—indicating that Respondent was acting as a carrier rather than an agent. *Id.*

With respect to the second element—assuming responsibility—Respondent argues that ECU acted as the NVOCC and the bill of lading was issued by ECU, not by Respondent. *Compare* 46 C.F.R. § 515.2(h)(5) (OFF services include “[p]reparing and/or processing common carrier bills of lading or other shipping documents”) *with* § 515.2(k)(4) (NVOCC services include “[i]ssuing bills of lading or other shipping documents”). However, Respondent’s use of ECU as a downstream NVOCC is not inconsistent with Respondent acting as a common carrier by assuming responsibility for the shipment.

In *Worldwide*, various respondents used downstream NVOCCs who issued bills of lading for the shipments at issue—nonetheless, the respondents were found to have assumed responsibility for the shipments:

[A]s affirmed by the Commission, the ALJ in *Worldwide Relocations* (ALJ 2010) looked at bills of lading issued by downstream carriers and invoices to determine whether the various respondents in that proceeding had assumed responsibility for identified shipments. In *Worldwide Relocations* (ALJ 2010), downstream carriers issued bills of lading to respondents identifying the shipper in one of the following ways: (1) as the respondent, with the words “as agent for” the proprietary shipper; (2) as the respondent c/o the proprietary shipper; or (3) as the

proprietary shipper c/o the respondent, with the respondent's address. Based on downstream carrier bills of lading containing such shipper descriptions, as well as evidence showing that respondents collected payment from proprietary shippers and paid downstream carriers, the ALJ in *Worldwide Relocations* (ALJ 2010) determined that respondents in that proceeding assumed responsibility for shipments for which such documents were in the record.

Anderson Int'l Transport and Owen Anderson—Possible Violations of Sections 8(A) and 19 of the Shipping Act of 1984, Dkt. No. 07-02, 2013 WL 9808666 at *16 (FMC Jun. 25, 2013).

Here, the bill of lading issued by ECU identifies the shipper as Respondent “as agent for” Claimant, the proprietary shipper—in line with the bills of lading reviewed in *Worldwide*. PF 23. Moreover, the invoices in the record indicate that Respondent collected payment from Claimant and that Respondent paid ECU as the downstream carrier. PF 39 (Respondent's invoice to Claimant for the “door-to-door” move); PF 36 (ECU invoice issued to Respondent for ocean freight). Thus—consistent with Commission precedent in *Worldwide*—the evidence demonstrates Respondent assumed responsibility for the shipment.

In conducting this analysis, I recognize that, in addition to not issuing the bill of lading, not all of the NVOCC services described in 46 C.F.R. § 515.2(k)(1)-(11) line up with Respondent's actions. For example, Respondent asserts they did not enter into affreightment agreements, did not engage a separate freight forwarder, and did not lease the container. R. Second RFI Resp. ¶¶ 11, 12, 13; *see* 46 C.F.R. § 515.2(k)(3),(7),(9). However, the definition provided in the regulation is only illustrative of what NVOCC services “may” include. On balance—considering that Respondent advertised its international moving services by sea-freight to the public through its website, assumed responsibility for “door to door” services, engaged a destination agent, determined its own freight charge rather than passing along another carrier's charge with an agent fee, and identified itself as the shipper “as agent for” Claimant for purposes of the bill of lading—the evidence establishes that Respondent acted as an NVOCC for purposes of the shipment. As a dual NVOCC-OFF entity, if Respondent meant to circumscribe its services to that of an OFF for purposes of the shipment it certainly was “within its own power the ability to insulate itself from this concern by being clear in its shipping documents as to the status and relationship of all parties to the transportation transaction.” *Worldwide* (FMC 2012), 2012 WL 11914713 at *9. Respondent did not do so.

3. The AGS invoice included “demurrage and detention” charges subject to the content requirements of 46 U.S.C. § 41104(d)(2)

Respondent does not dispute that the charges labeled as “Demurrage” and “Detention” on the AGS invoice fall under the definition of “demurrage and detention charges” that are regulated by the Commission under the Shipping Act and implementing regulations. *See* PF42. The Commission has defined “demurrage and detention” as any charge (not including freight) related to the use of marine terminal space or shipping containers that is *assessed by a regulated entity*. *See* 46 C.F.R. § 541.3 (“*Demurrage or detention* means any charges ... assessed by ocean common carriers, marine terminal operators, or [NVOCCs] related to the use of marine terminal space (*e.g.*, land) or shipping containers, but not including freight charges); 46 C.F.R. § 545.5(b) (“the terms demurrage and detention encompass any charges ... assessed by ocean

common carriers, mariner terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (*e.g.*, land) or shipping containers, not including freight charges”).

While not specifically disputing that the fees at issue are “demurrage and detention,” Respondent—in the context of raising a “safe harbor” defense, which is discussed later in this decision—does claim that the demurrage and detention charges were assessed by “terminal/carrier entities” and passed through to Claimant. R. Second RFI Resp. ¶¶ 16, 17. If the charges were assessed by a non-regulated entity—such as the port authority in Barcelona, Spain—and if Respondent was not otherwise responsible for the charges, the charges arguably would not meet the definition of “demurrage and detention” subject to the invoice requirements of section 41104(d)(2). However, despite multiple requests, Respondent has not identified the entity or entities that assessed the demurrage and detention charges nor produced any documentation related to the assessment of the charges that were passed through. *See* Second RFI request Nos. 16 & 17; R. Second RFI Resp; Third RFI. This requested information is solely within the control of Respondent and/or Respondent’s agent AGS, and is not within the control of Claimant.

Under these circumstances—where Respondent has failed to provide requested information that is solely within its control—it is appropriate to draw an adverse inference that the charges were assessed by a regulated entity and meet the definition of “demurrage and detention charges” that are regulated by the Commission under the Shipping Act and implementing regulations. *See, e.g.*, C.F.R. § 502.150(b) (“If a party ... fails or refuses to obey an order requiring it to make disclosures ... the presiding officer ... may make such orders in regards to the failure or refusal as are just.”) (applicable to formal adjudication proceedings); *International Union (UAW) v. N.L.R.B.*, 459 F.2d 1329, 1338 (D.C. Cir. 1972) (noting courts have consistently upheld an administrative agency’s practice of drawing an adverse inference from nonproduction of relevant evidence); *Worldwide* (FMC 2012), 2012 WL 11914713 at *5 (“[a]dverse inferences are particularly appropriate when a party fails to produce documents”) (citing *Community Hospitals of Central California v. N.L.R.B.*, 335 F.3d 1079, 1086-87 (D.C. Cir. 2003) (upholding adverse inference imposed by ALJ for documents not produced)).

4. The demurrage and detention invoice does not comply with the content requirements set forth in 46 U.S.C. § 41104(d)(2)

Claimant alleges the AGS invoice charging demurrage and detention fees does not comply with the minimum content requirements set forth in 46 U.S.C. § 41104(d)(2). Respondent argues that the invoice content requirements set forth in 46 U.S.C. § 41104(d)(2) were not in effect at the time of the shipment because the Commission “did not issue the final rule implementing the requirements under § 41104(d) until May 28, 2024, under Docket No. FMC-2022-0066.” Response ¶ II. Thus, according to Respondent, “at the time of this shipment (November 2023), the enhanced invoice detail requirements were not yet in effect [and] [n]either [FGM] nor AGS were obligated to provide itemized invoice information such as free days, start/end dates, or daily rates in the format now required.” *Id.*

Respondent is incorrect about the effective date of section 41104(d)(2) of the Shipping Act. Section 41104(d)(2) was added by OSRA with an effective date of June 16, 2022, and was

thus in effect at the time of the shipment at issue. Pub. L. No. 117-146 (Jun. 16, 2022). Respondent is correct that the Commission subsequently issued a final rule on “Demurrage and Detention Billing Requirements” published in 46 C.F.R. part 541 subpart A, effective May 28, 2024 (except for 46 C.F.R. §§ 541.6 and 541.99, which were delayed). The Commission’s final rule includes additional requirements for demurrage and detention invoices beyond OSRA’s minimum requirements and applies those requirements to marine terminal operators in addition to common carriers. *Compare* 46 U.S.C. § 41104(d)(2)(A)-(M) *with* 46 C.F.R. § 541.6(a)-(e). The additional requirements set forth in 46 C.F.R. § 541.6 do not apply to the shipment at issue because the rule was not in effect yet. This decision solely applies the statutory requirements in section 41104(d)(2) of the Shipping Act with respect to the minimum required contents of invoices charging demurrage and detention.

Comparing the AGS invoice with the minimum requirements set forth in section 41104(d)(2), I find the invoice fails to comply with the following requirements:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier’s performance did not cause or contribute to the underlying invoiced charges.

See PFs 42-44; 46 U.S.C. § 41104(d)(2)(A)-(M).

Accordingly, Claimant has established a violation of section 41104(d)(2). Pursuant to section 41104(f), “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” 46 U.S.C. § 41104(f). Further, the Commission has emphasized that 46 U.S.C. 41104(f) “functions to void an invoice if a single required element is not included....” 89 Fed. Reg. at 14335. Here, multiple elements are missing, resulting in the elimination of Claimant’s obligation to pay the applicable charges. Claimant paid the fees to secure the release of her goods; accordingly, Claimant is entitled to a refund for the payment.

5. Respondent has failed to establish that the “Safe Harbor” provision under section 41104(e) applies

Respondent asserts that the safe harbor provision under section 41104(e) applies—making Respondent not subject to refunds or penalties—because the demurrage and detention charges “were assessed by terminal/carrier entities” and “passed through to the client without any modification or markup.” R. Second RFI Resp. at ¶¶ 16, 17. The safe harbor provision

protects an NVOCC from liability when the NVOCC merely passes through charges from an ocean common carrier and is not otherwise responsible for the charge. 46 U.S.C. § 41104(e). However, despite multiple requests, Respondent has not identified the third party entities and has not provided documentation, such as the third party invoice(s) assessing the demurrage and detention fees, to support Respondent’s contention that the safe harbor provision applies.

That the burden to do so falls on Respondent—to produce evidence that the safe harbor applies—is consistent with the “need to ensure that it is clear to shippers ‘what is being billed by whom’ so that they can understand the charges.” 89 Fed. Reg. at 14333 (also noting that “the plain language of the statute shows an intent by Congress to address in a targeted manner the failures of the current invoicing process”). As the D.C. Circuit recently summarized, the “Federal Maritime Commission, with support from Congress, has sought to address the significant and growing concerns with demurrage and detention charges and practices,” noting that the “entities against whom charges are assessed—such as shippers—are unclear about ‘what is being billed by whom.’” *World Shipping Council v. FMC*, 152 F.4th 215, 218 (D.C. Cir. 2025) (internal citations omitted) (severing 46 C.F.R. § 541.4 from the D&D Billing Final Rule, but leaving the rest of the rule intact).

Without evidence of “what is being billed by whom”—which is within the control of Respondent—Respondent has not established that the safe harbor provision protects Respondent from liability.

6. Refund

Pursuant to section 41104(f), because the invoice does not contain the minimum required information, Claimant was not obligated to pay the demurrage and detention charges and is entitled to a refund from Respondent of the paid amount totaling €8,070.75, which is the equivalent of \$8,668.79 in U.S. dollars.⁴

IV. CONCLUSION

For the reasons discussed above, Claimant established by a preponderance of the evidence that Respondent violated 46 U.S.C. § 41104(a)(15) by invoicing demurrage and detention charges without the required minimum information set forth in section 41104(d)(2) for the contents of the invoice. The safe harbor provision under section 41104(e) does not apply to protect Respondent from liability. Pursuant to section 41104(f), Respondent must refund Claimant in the amount of \$8,668.79. Pursuant to the Commission’s rules at 46 C.F.R. § 502.253, Claimant is entitled to receive compound interest on the award beginning from November 6, 2023, the date the damages accrued. Claimant will receive notice of the amount to be paid as interest when the Commission issues its final action in this proceeding.

⁴ The conversion amount was ascertained by using the historical currency converter at <https://fxtop.com/en/historical-currency-converter.php>, using the date the AGS invoice was paid on November 6, 2023.

It is therefore **ORDERED** that Claimant's request for a refund from Respondent is **GRANTED** in the amount of \$8,668.79, plus interest as calculated from the date of injury.

Jamie L.
Mendelson -S



Digitally signed by
Jamie L.
Mendelson -S

Jamie L. Mendelson
Small Claims Officer